Introduction to Management MGNT110

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Managing Culture, Innovation & Change in Organisations

Lecture 7

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Learning objectives

- Recognise the importance and complexity of culture within organisations
- Identify different views of culture
- Appreciate organisational culture's role in framing equity, diversity and inclusion issues
- Evaluate how culture can either support or block innovation, creativity and change.

Why combine culture, innovation and change?

Culture

Shared values, assumptions, norms and meanings that shape behaviour.

Innovation

New or significantly improved products, services or organisational processes.

Change

The transition from one state to another as organisations adapt and evolve.

Managers need to understand how all three interact. A supportive culture can encourage experimentation, while poor culture can resist change and kill creativity.

What is organisational culture?

What is Organisational Culture?

- "the most useful way to arrive at a definition of something as abstract as culture is to think in dynamic evolutionary terms, to think of culture as what the group has learned in its efforts to survive, grow, deal with its external environment, and organize itself."

Dimitrov, F. (n.d.) *Group of cavemen voting, misled by cheap promises of food*. Image ID: 89206951. Available at: https://www.dreamstime.com/stock-illustration-group-cavemen-voting-vector-illustration-misled-cheap-promises-food-image89206951 (Accessed: [insert date]).

Schein, EH & Schein, P 2017, *Organizational Culture and Leadership*, 5th edn, John Wiley & Sons, Inc., Hoboken, New Jersey, p.15.

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What is Organisational Culture?

- Schein argues that culture is what a group has learned as it tries to survive, grow, deal with its external environment and organise itself.
- Culture refers to the customs, achievements and ways of living of a group.
- In organisations, culture shapes how people think, behave and make sense of their work.

What is Organisational Culture?

- Organisational culture comprises deep basic assumptions, beliefs and shared values that define membership.
- This means culture is not just slogans or posters. It includes deeper expectations about what is normal, acceptable and rewarded.

Clegg, S, Pitsis, T & Mount, M 2022, *Managing & Organizations: An Introduction to Theory and Practice*, 6th edn, Sage, Los Angeles, p.139.

Why Culture Matters

- Culture influences how people communicate, cooperate and make decisions.
- It frames what behaviour is rewarded, ignored or punished.
- It affects morale, belonging and employee engagement.
- It shapes whether equity, diversity and inclusion are genuinely practised or only stated in policy.
- A toxic culture can damage long-term performance even when short-term financial targets are met.

Case Reminder

The Franklin Climate Systems case study highlights a toxic culture marked by disengagement, negativity and low morale. The lesson is that managers must address root causes, not only symptoms.

Can You Fix an Organisation’s Culture?

- Noelle Freeman, CFO of Franklin Climate Systems, discovers deep-rooted cultural issues during a visit to the company's Arkansas facility.
- Disengaged employees, low morale, and pervasive negativity characterise the company's culture. Noelle describes the culture as "toxic," indicating significant underlying issues.
- CEO Cameron Koren considers layoffs to address cultural challenges.
- HR head Doug Lee advocates for cultural transformation instead of layoffs.
- Noelle grapples with the tension between prioritizing financial metrics as a CFO and recognising the importance of addressing cultural issues for sustainable success.
- The case highlights the need to balance short-term financial concerns with longterm cultural transformation for organisational resilience and employee wellbeing.

Gino, F 2018, ‘Case study: Can you fix a toxic culture without firing people?’, *Harvard Business Review, vol. 96, no. 6, pp. 143-7*

Expert Commentary

Jeremy Andrus, CEO of Traeger Grills

- Emphasises **<u>understanding</u>** root causes before making decisions.

Philipp Schramm, CFO and VP of HR at Webasto Roof Systems

- Advocates for **<u>retaining employees</u>** and fostering **<u>engagement</u>**.

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What is innovation?

Innovation

The implementation of a new or significantly improved product, service, organisational process or practice.

It is both a process and an outcome.

Innovation process

1. Initiation - a problem, idea or opportunity emerges.
2. Development - the idea is shaped, tested and refined.
3. Implementation - the innovation is introduced into organisational practice.

Important: the process is complex and non-linear, so organisations need the right conditions to support it.

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Employee-driven and Open Innovation

Inside the organisation

Innovation leadership may involve sponsors, mentors, critics and leaders. Employees can generate and implement new products, services, technologies, or improve everyday work practices.

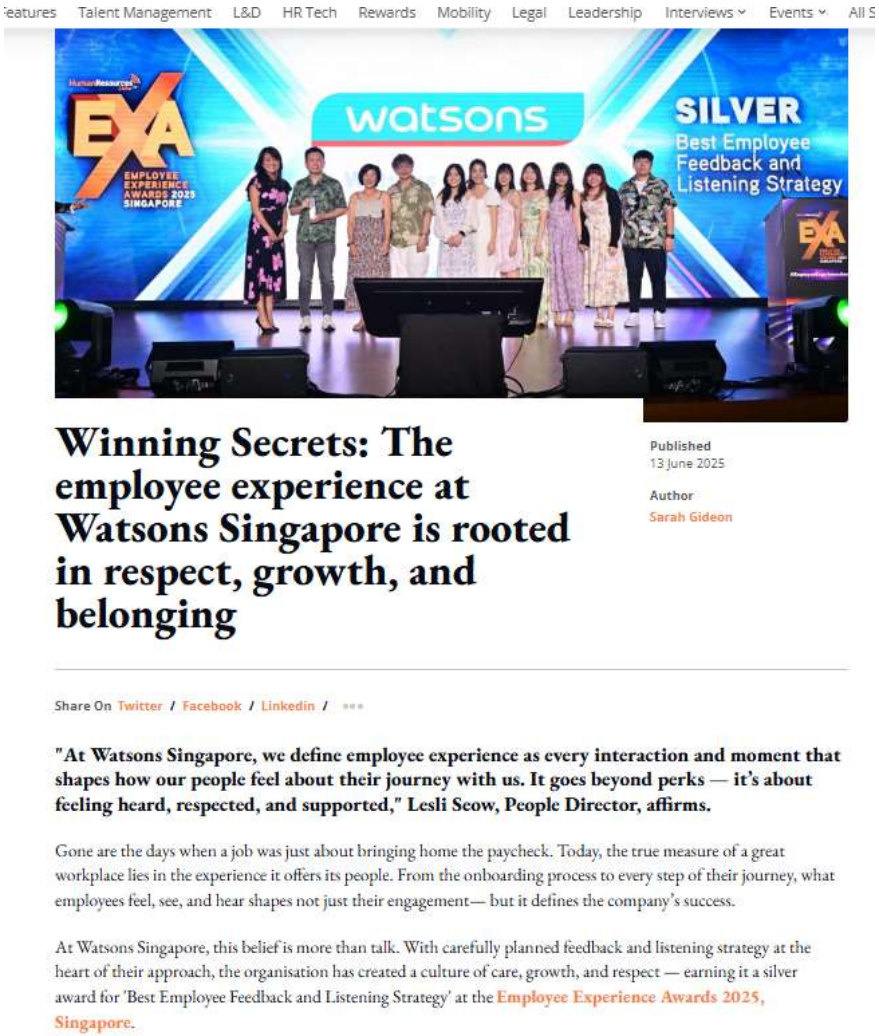
Outside the organisation

Open innovation draws on external knowledge from lead users, suppliers, competitors and online crowds. Platform innovation treats innovation as an ecosystem of interconnected pieces.

Management implication: innovation is not only top-down. Managers need structures that allow ideas to move across teams, roles and even organisational boundaries.

Employee-driven and Open Innovation

Inside the organisation



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Winning Secrets: The employee experience at Watsons Singapore is rooted in respect, growth, and belonging

Published
13 June 2025

Author
Sarah Gideon

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"At Watsons Singapore, we define employee experience as every interaction and moment that shapes how our people feel about their journey with us. It goes beyond perks — it's about feeling heard, respected, and supported," Lesli Seow, People Director, affirms.

Gone are the days when a job was just about bringing home the paycheck. Today, the true measure of a great workplace lies in the experience it offers its people. From the onboarding process to every step of their journey, what employees feel, see, and hear shapes not just their engagement— but it defines the company's success.

At Watsons Singapore, this belief is more than talk. With carefully planned feedback and listening strategy at the heart of their approach, the organisation has created a culture of care, growth, and respect — earning it a silver award for 'Best Employee Feedback and Listening Strategy' at the Employee Experience Awards 2025, Singapore.

Watsons Singapore places strong emphasis on employee feedback as a key driver of continuous improvement. The company leverages digital tools and regular surveys to promote open communication across the organisation. For instance, Watsons Singapore utilises the KNOW app to gather real-time, anonymous feedback from employees. Other platforms commonly used to support such initiatives include QuickHR and EngageRocket.

https://www.humanresourcesonline.net/winning-secrets-the-employee-experience-at-watsons-singapore-is-rooted-in-respect-growth-and-belonging

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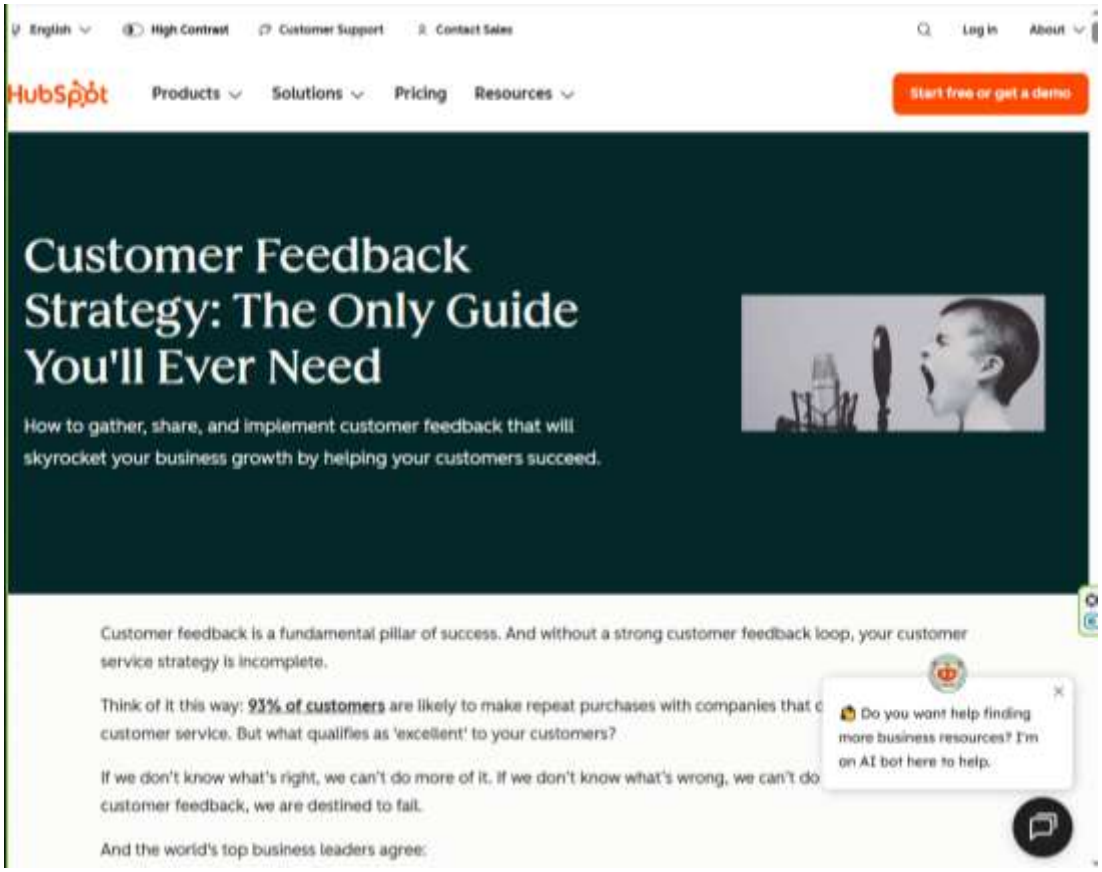
Employee-driven and Open Innovation

Outside the organisation



HubSpot: Known for building a customer community that provides feedback to shape new features and product acquisitions.

https://www.hubspot.com/customer-feedback

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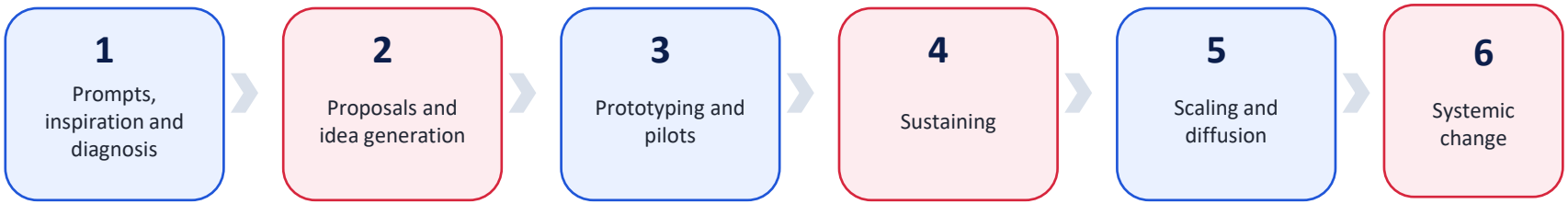
Social Innovation

Social innovation refers to new ideas, processes or services that meet social needs and create new social relationships.



This reminds managers that innovation is not only commercial. It can also aim to solve community and societal problems.

- Business innovation → profit-driven
- Social innovation → impact-driven (society, community, wellbeing)

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Social Innovation

Use cases of CrowdTaskSG in action

CrowdTaskSG is designed to help government agencies engage citizens and gather insights quickly through digital crowdsourcing. It has been applied across a wide range of initiatives—from national feedback exercises to on-the-ground community activities—making public participation seamless, inclusive, and rewarding.

- **Walking Trails@CDC:** In partnership with the five Community Development Councils (CDCs), CrowdTaskSG powers this innovative "phygital" walking programme that blends outdoor activity with interactive digital challenges. Across five trails in Singapore, participants can explore local landmarks and park connectors, completing checkpoints and digital challenges to earn RedeemSG rewards vouchers via their CrowdTaskSG accounts. This initiative motivates residents to explore heritage-rich spaces and strengthens community cohesion, while demonstrating how gamification can make healthy activities more engaging and rewarding.
- **SG Youth Plan:** The National Youth Council (NYC) has actively used CrowdTaskSG to engage youths on the SG Youth Plan that covers important topics such as education, mental health, and sustainability. The feedback gathered through the platform directly informed NYC's strategies and programmes, ensuring they resonated with the needs and aspirations of young Singaporeans.
- **Great Budget Meal Hunt:** This initiative, officially launched to allow the public to crowdsource information on affordable meals, leveraged CrowdTaskSG to gather real-time data on where citizens could find budget-friendly food options. The feedback collected through the platform helped create a valuable resource for the community during a time of economic considerations.

https://www.tech.gov.sg/products-and-services/for-citizens/crowdsourcing/crowdtasksg/

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Understanding Organisational Change

Change is the transition from one state to another. It is constant - like the idea that you can never step into the same river twice.

Struggle-based change

- Dialectical
  - employee vs management conflict
- Life cycle
  - startup → growth → maturity → decline

Now discontinued, Palm was a line of personal digital assistants (PDAs) and mobile phones developed by California-based Palm, Inc. (formerly Palm Computing, Inc.).

Vision-based change

- Evolutionary and teleological
  - Driven by goals and leadership vision
  - Planned and intentional

Managers should recognise that some change emerges from conflict and pressure, while other change is guided by purpose, intention and future goals.

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Badham's 5M Framework of Change

1	**Mindfulness**	Change is messy, difficult and may fail. Be aware of complexity and subtlety. *Note: Managers must be aware: Things may fail, not everything is controllable.*
2	**Mobilizing**	Gain buy-in and engage stakeholder intelligence, emotions and networks. *Note: Get people on board. Change fails if people don't support it.*
3	**Mapping**	Plan the route ahead and identify obstacles and possibilities. *Note: Plan the journey.*
4	**Masks**	Plans must be performed persuasively so that people can act on them. *Note: Perform and communicate change.*
5	**Mirrors**	Use feedback and reflection because change involves learning and experimentation. *Note: Reflect and learn.*

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How Managers Kill Creativity

- Be a know-it-all
- Surveil excessively
- Micro-manage
- Turn creative staff into technicians
- Separate decision-makers from doers

- Be aloof
- Gatekeep ideas
- Talk without action
- Be risk averse
- Say “been there, done that”

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Levels of organisational culture

DIMENSIONS OF ORGANISATIONAL CULTURE

LEVEL 1 - ARTEFACTS

Visible and tangible norms within the organisation, represented by the material artefacts on display in the organisation, ie furniture, decorative colours, signage, uniforms,

LEVEL 2 - ESPOUSED VALUES

Values that are evident within the organisation and expected of employees. These are visible on the surface of the organisation in the form of speeches, organisational value statements, written policies and other documents, the language and demeanour of staff

LEVEL 3 - BASIC ASSUMPTIONS

Assumptions, often hidden beneath the more visible material artefacts and espoused values. The assumptions often shape the artefacts and espoused values, unconsciously. These are difficult to identify and even harder to change.

Clegg, S, Pitsis, T & Mount, M 2022, *Managing & Organizations: An Introduction to Theory and Practice*, 6th edn, Sage, Los Angeles.
Schein, EH & Schein, P 2017, *Organizational Culture and Leadership*, 5th edn, John Wiley & Sons, Inc., Hoboken, New Jersey.

Levels of organisational culture

DIME

Artefacts are the things you can see, hear, or observe immediately when you enter an organisation.

LEVEL 1 - ARTEFACTS

Visible and tangible norms within the organisation, represented by the material artefacts on display in the organisation, ie furniture, decorative colours, signage, uniforms.

LEVEL 2 - ESPOUSED VALUES

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Levels of organisational culture

DIMENSIONS OF ORGANISATIONAL CULTURE

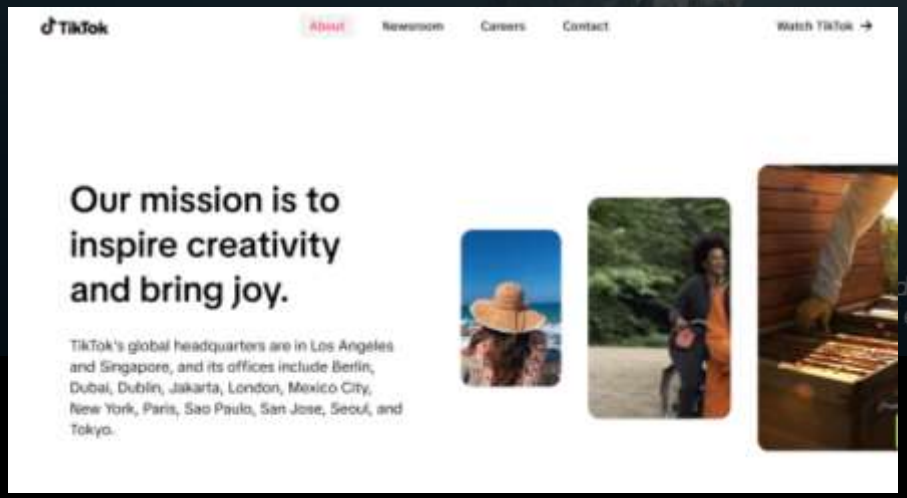
LEVEL 1 - ARTEFACTS

Visible and tangible norms within the organisation, represented by the material artefacts on display in the organisation, ie furniture, decorative colours, signage, uniforms.

Espoused values are the values the organisation claims to believe in and promote. E.g. mission statement, speeches by leaders

LEVEL 2 - ESPOUSED VALUES

Values that are evident within the organisation and expected of employees. These are visible on the surface of the organisation in the form of speeches, organisational value statements, written policies and other documents, the language and demeanour of staff



LEVEL 3 - BASIC ASSUMPTIONS

"The boss should never be questioned."

"Conflict should be avoided."

"Making mistakes is dangerous."

"Only senior staff have good ideas."

"Working long hours shows commitment."

"It is safer to stay quiet than speak honestly."

- This is the deepest part of the iceberg, hidden under the water.
- Basic assumptions are the unconscious, taken-for-granted beliefs that people in the organisation follow without even thinking about them.
- These are the hardest to notice because people often do not say them directly.

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Key Takeaways

- Culture sits deep in assumptions, values and everyday practices.
- Innovation is not just about products; it also involves processes, relationships and ways of working.
- Open and employee-driven innovation show that ideas can come from many places.
- Change is difficult, political and relational, so managers need more than a technical plan.
- A healthy culture supports learning, inclusion, experimentation and sustainable change.

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